2008 BRIMLEY ROAD — TRILLIUM PROFORMA

Scarborough, ON · 6-Storey + Garden Suite · 29-Unit Purpose-Built Rental · Architect: Office Ou Ltd. · PAC May 2026

Owner / Operator: Trillium United Estate
Proforma rev: Jun 2026
CMHC MLI Select · Standard Tier

PROJECT COST	CMHC PERMANENT	TRILLIUM EQUITY	STABILIZED NOI	YR 20 ASSET VALUE	20-YR EQUITY MULTIPLE
~$14.1M	**~$10.1M**	**~$4.5M**	**~$601K**	**~$24.0M**	**~3.5–4.5×**
$300/sf hard	DSCR 1.20× / 4.5%	Standard CMHC scenario	Market rents Yr 1	@ 4% exit cap	Long-term hold

PROJECT PER DRAWINGS

Address	2008 Brimley Rd, Scarborough M1S 2B2
Lot	23.21 m × 46.94 m (~1,090 m²)
Zoning	RD
Main Building	6-storey, 27 units, 27,452 sf GFA
Garden Suite	1-storey, 2 units, 810 sf GFA
Total Units	**29**
Total GFA	**28,261 sf** (2,625.5 m²)
Architect	Office Ou Ltd. (PAC sheet 2026-06)
Land Acquisition	$2.0M ($1M cash + $1M VTB)

UNIT MIX & RENT ROLL (MARKET)

Type	Count	Sf	$/mo	Annual
Studio	2	404	$1,650	$39,600
1 BR	7	701	$1,950	$163,800
1 BR + Den	8	720	$2,200	$211,200
2 BR	6	726	$2,500	$180,000
3 BR + Den	6	1,075	$3,200	$230,400
TOTAL	**29**	**28,261**	**—**	**$825,000**

YEAR 1 INCOME & NOI (MARKET RENTS)

Gross Rental Income	$825,000
Vacancy (5%)	−$41,250
Effective Gross Income	$783,750
Property tax	*−$50,000*
Insurance	*−$22,000*
R&M	*−$32,000*
Common utilities	*−$22,000*
Prop mgmt (4% EGI)	*−$31,350*
Other / reserves	*−$25,000*
Total Operating Expenses	−$182,350
Stabilized NOI	**$601,400**
NOI per unit	$20,738
NOI per sf	$21.28

DEVELOPMENT COST — TOTAL PROJECT COST

Land purchase + closing	$2,162,000
Hard cost (28,261 sf × $300/sf)	$8,478,300
Soft costs (18% of hard)	$1,526,094
Construction loan interest (18 mo)	$562,000
Construction loan fee	$200,000
VTB interest (24 mo @ 7.5%)	$150,000
Contingency (10% of hard + soft)	$1,000,440
TOTAL PROJECT COST	**~$14,078,800**
Per unit	$485,500
Per sf	$498

CMHC MLI SELECT — PERMANENT FINANCING

Stabilized NOI	$601,400
DSCR target (Standard)	1.20×
Max annual debt service	$501,167
Rate / Amort (Standard tier)	4.5% / 50 yr
Annual factor	0.04958
DSCR-driven max loan	~$10,108,000
LTV-driven max (95% × $15.0M val)	~$14,300,000
CMHC Permanent Loan (lower of)	**~$10,108,000**
Year 1 cash flow after DS	~$100,000
DSCR (actual)	1.20×

REFI CASH FLOW ANALYSIS

CMHC permanent proceeds	$10,108,000
Less: Construction loan payoff	−$11,930,000
Less: Residual VTB to seller	−$500,000
Cash Gap (Trillium top-up)	**~−$2,322,000**
Plus equity at construction	~$2,111,000
Total Trillium Equity in Deal	**~$4,433,000**
Year 1 cash-on-cash	~2.3%

⚠ KEY FINDING — STANDARD CMHC DOES NOT FULLY PENCIL

The proforma at **market rents + Standard MLI Select 4.5%** generates a stabilized NOI of $601K, which sizes CMHC at ~$10.1M. The construction loan payoff (~$11.9M) plus residual VTB ($500K) exceeds the CMHC proceeds by ~$2.3M — meaning Trillium needs to fund an additional ~$2.3M of equity at refi on top of the ~$2.1M already deployed during construction. **Total Trillium equity exposure: ~$4.4M.** Year 1 cash-on-cash is modest at ~2.3% but long-term returns benefit from rent growth, mortgage paydown, and asset appreciation.

Three paths to improve the economics:

- **BCH 40% Forgivable Loan** — adds ~$5.6M of forgivable capital; transforms refi economics. Requires affordability covenant (≥30% of units at 80% MMR) but project structure supports it. *This is the path modeled in the Investor Package.*
- **Pursue MLI Select Tier 3 (premium)** — 4.0% rate, deeper amortization, 1.15× DSCR. Requires affordability + energy + accessibility commitments. Could lift CMHC loan to ~$11.5M-12.0M and largely close the gap.
- **Reduce hard cost to $275-285/sf** through value engineering — reduces TPC by ~$420K-700K and lowers Trillium's required equity.

20-YEAR HOLD RETURNS (APPROXIMATE)

Year 1 NOI	$601,400
Year 20 NOI (2.5% growth)	$960,800
Year 20 Asset Value (4% cap)	$24,020,000
Year 20 Mortgage Balance (est.)	−$7,076,000
Year 20 Equity Value	$16,944,000
Cumulative cash flow (Yrs 1–20, ~50% growth)	$3,000,000
Total Trillium Return (20-Yr)	**~$19,944,000**
Equity Multiple on $4.4M	~4.5×
Approximate Annualized CAGR	~7.5%

CAP RATE SENSITIVITY (YR 20)

Yr 20 NOI (base)	$960,800
3.0% exit cap	$32,027,000
3.5% exit cap	$27,451,000
4.0% exit cap (base)	**$24,020,000**
4.5% exit cap	$21,351,000
5.0% exit cap	$19,216,000

Toronto multifamily reference 3.5–4.5%. Cap compression in mid-cycle (3.5%) could lift Yr 20 equity value materially.

RECOMMENDATION

Trillium proforma at market rents + standard CMHC produces a positive long-term hold (~4.5× equity multiple, ~7.5% CAGR) but requires ~$4.4M of Trillium equity exposure with modest Year-1 cash flow. The deal is investable as a long-term stabilized hold but the equity ask is meaningful.

The strategic case for pursuing the BCH Ubuntu structure (see Investor Package): replaces Trillium's $4.4M equity with a Howard-led structure at $0 cash from Trillium, plus social-impact partnership with Our Greenway NFP. Trillium's economics shift from "long-term hold owner with $4.4M tied up" to "structuring sponsor with development fee + ongoing share" — better aligns with Trillium's capital efficiency profile.

Trillium next steps: (1) Confirm BCH program eligibility and rate sheet with CMHC pre-application; (2) finalize affordability mix to support BCH Tier 3 / 30%-affordable covenant; (3) align with Office Ou on cost engineering opportunities ($300/sf → $280/sf would reduce equity ask by ~$420K).